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START-UP NOTE · ARTIFICIAL INTELLIGENCE · 30 OCTOBER 2026

Mistral AI

Private company · Paris, France · Founded April 2023 · Foundation models, AI infrastructure

Europe's AI champion doubled its valuation in a year. The strategy is credible; the price assumes it all works.

VALUATION VIEW

Stretched

Our fair value	€16.7bn
Last round (Sep 2026)	€21bn post-money
Gap	−20%
Implied EV / 2026E sales	35x

01 Thesis and valuation view

We rate Mistral AI's latest valuation as STRETCHED: our probability-weighted fair value is €16.7bn, 20% below the €21bn post-money of the September 2026 Series D. The company has a real position as Europe's sovereign AI provider, with backing from ASML, Nvidia and Samsung. But at 35 times our 2026 revenue estimate, the round prices in roughly ten-fold growth by 2031 and a successful build-out of its own data centres.

Three points

- **Growth is exceptional.** Annual recurring revenue went from about $16m at end-2024 to an estimated $400m in January 2026 (Sacra), helped by enterprise and government demand for models that can run on European soil.

- **The business is turning capital-intensive.** Most of the €3bn just raised, plus $830m of debt, goes to data centres: 200 MW by 2027 and 1 GW targeted by 2030. That changes the risk profile from a software company to an infrastructure company.
- **Competition is from the deepest pockets in the world.** OpenAI, Google, Anthropic and open-weight models from Meta, DeepSeek and Qwen all compete on price and quality.

> WHAT WOULD MAKE US WRONG
>
> Two things. First, management says Mistral is on track for €1bn of revenue in 2026 (Davos, January 2026, repeated at its May conference). Our €0.6bn estimate is more cautious because annual recurring revenue was only about $400m in February. If the €1bn target is met, the comparables value rises to €35.6bn and our fair value to €22.4bn, in line with the round. Second, strategic value: governments and industrial groups such as ASML and Samsung may pay above financial value for a European AI provider.

INDICATOR	VALUE	COMMENT
Post-money valuation	€21bn	Series D, 8 September 2026
EV / 2026E revenue	35x	on our €0.6bn estimate
Valuation growth, 12 months	+79%	from €11.7bn (Sep 2025)
Europe share of revenue	≈60%	Sacra estimate

Mistral does not publish accounts. Revenue figures are third-party estimates (Sacra) and our own assumptions, and should be read as orders of magnitude.

02 The surprise: a near-double in twelve months

In June 2026 Bloomberg reported that Mistral was in early talks to raise about €3bn at a €20bn valuation. The round closed on 8 September above €21bn post-money, led by Samsung Electronics and the Scaleup Europe Fund, with Nvidia, Andreessen Horowitz and ASML following. One year earlier ASML had led the Series C at €11.7bn. For a company founded in April 2023, that is one of the fastest valuation climbs in European tech history.

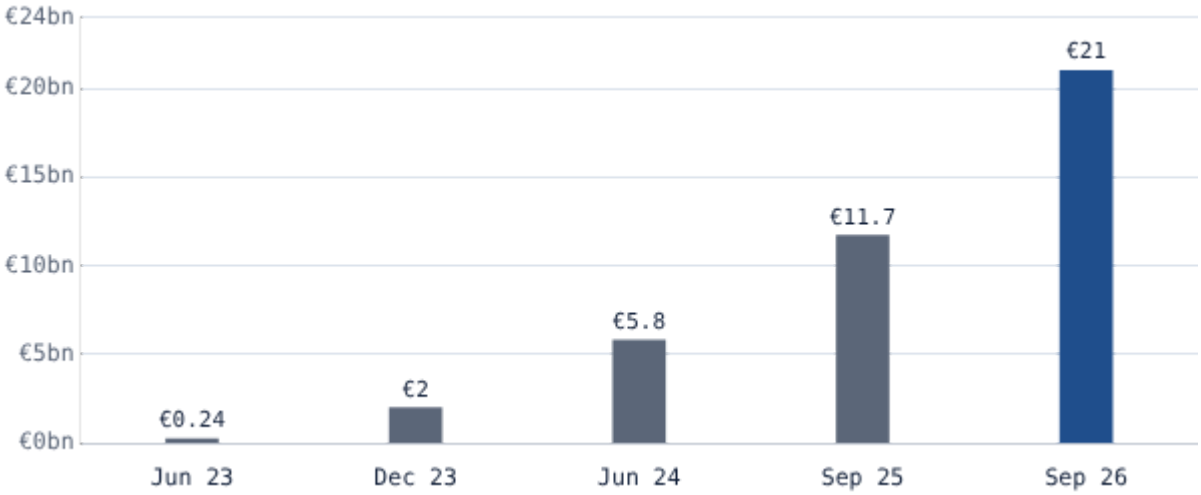
The surprise is the direction of the money as much as its size. Mistral is raising to build compute: a data centre near Paris, a €1.2bn site in Borlänge, Sweden, and a

planned GPU cloud joint venture with Nvidia and Bpifrance. Investors are now valuing an infrastructure plan as well as a model maker.

03 Funding and valuation history

DATE	ROUND	RAISED	VALUATION
Jun 2023	Seed (Lightspeed)	€105m	≈€0.24bn
Dec 2023	Series A (a16z)	€385m	≈€2bn
Jun 2024	Series B	€600m	€5.8bn
Sep 2025	Series C (ASML)	€1.7bn	€11.7bn
Mar 2026	Debt for data centres	$830m	n/a
Sep 2026	**Series D (Samsung, Scaleup Europe)**	**€3bn**	**€21bn**

Exhibit 1 **Post-money valuation by round (€bn)**



Seed valuation is an FT estimate. Sources disagree slightly on the Series C (€11.7bn to $14bn) and on the Series D lead investors.

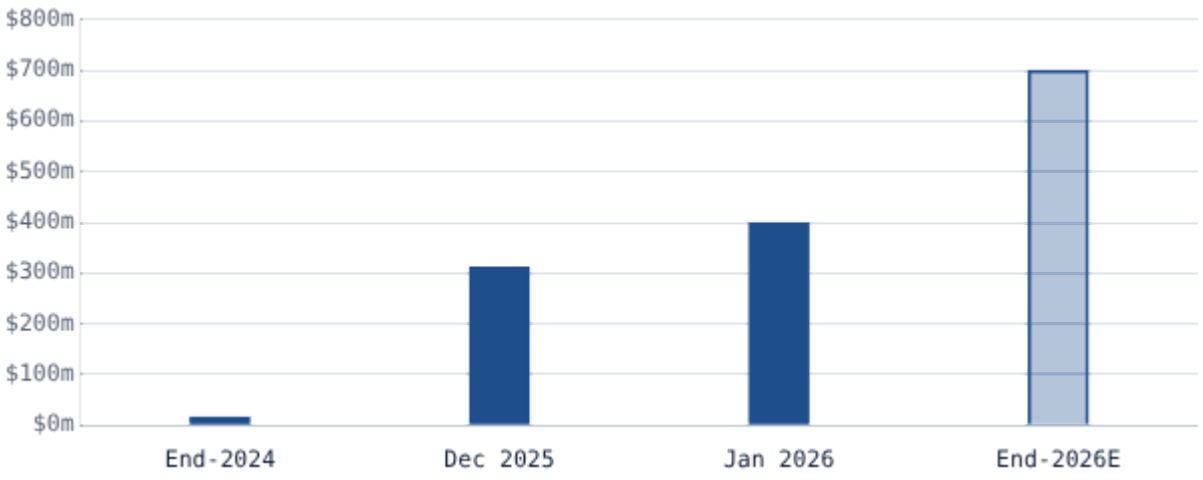
04 Business model and revenue

Mistral sells four things: usage-based access to its models through an API, enterprise licences for models deployed on the client's own servers, paid tiers of its chatbot (Le Chat, renamed Mistral Vibe), and large co-development contracts with partners such as CMA CGM, Ericsson and the French armed forces.

The 2026 additions push it toward a full stack: Forge for custom model training, Workflows for orchestration, Mistral Compute for sovereign cloud, and two

acquisitions, Koyeb (cloud hosting) and Emmi AI (industrial simulation). Its open-weight models act as a free funnel to paid products.

Exhibit 2 **Estimated annual recurring revenue ($m)**



End-2024 and Dec 2025 / Jan 2026: Sacra estimates. End-2026: our estimate (≈€0.6bn revenue run-rate), shaded.

05 Listed comparables

There is no listed pure-play model maker. The closest public benchmarks are high-growth data and AI software companies, which the market values on revenue.

COMPANY	EV / SALES (LTM)	REVENUE LTM	3-YR GROWTH FORECAST
Palantir	76.1x	$6.2bn	58.5%
Cloudflare	46.8x	$2.5bn	29.7%
Datadog	24.4x	$4.0bn	25.6%
Snowflake	21.4x	$5.4bn	30.5%
Median	**35.6x**		
Mistral AI at €21bn	**35x 2026E**	**≈€0.6bn**	**>100%**

On the comparables median, Mistral's valuation looks in line: 35.6x applied to our €0.6bn estimate gives €21.4bn, and applied to management's €1bn target it would give €35.6bn. The comparison flatters it, though. These companies are profitable or close to it, have years of audited revenue, and do not need to build gigawatts of data centres. We give this method 40% of our fair value.

StockAnalysis, 26-27 October 2026.

06 Main model: venture capital method

The VC method asks what the company could be worth at exit in five years, then discounts that value at the return a late-stage investor requires. We use a 25% required return and assume a further 20% dilution from future rounds before exit.

SCENARIO	REVENUE 2031	EXIT EV/SALES	EXIT VALUE	VALUE TODAY	PROBABILITY
Bear: commoditised models, compute under-used	€2.5bn	5x	€12.5bn	€3.3bn	25%
Base: European enterprise leader	**€6.0bn**	**8x**	**€48bn**	**€12.6bn**	**50%**
Bull: sovereign AI and compute platform	€10.0bn	10x	€100bn	€26.2bn	25%
Probability-weighted value				**€13.7bn**	**100%**

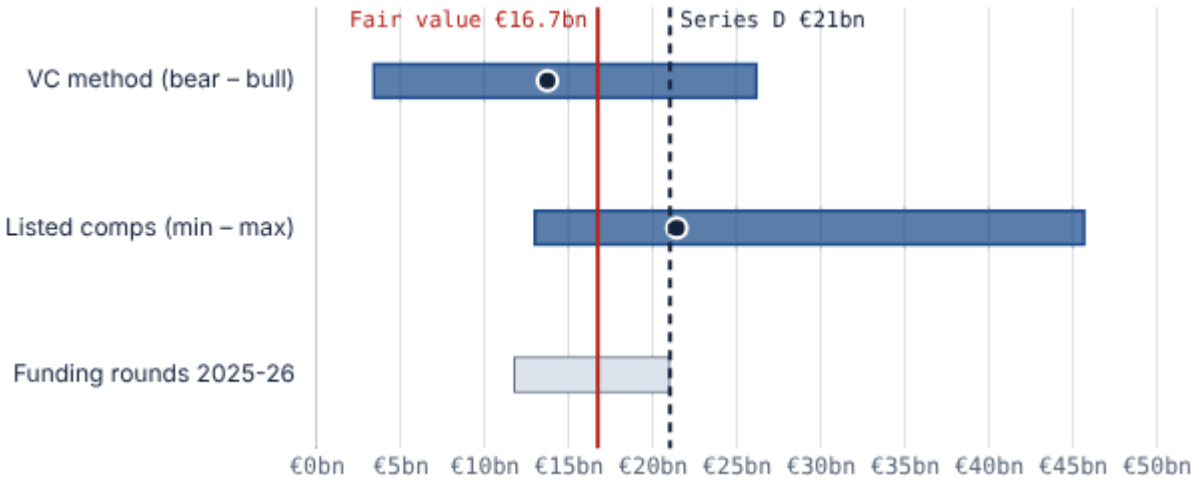
Exhibit 3 **Sensitivity of the base case (€bn) to required return and exit multiple**

RETURN \ EXIT EV/SALES	6X	7X	8X	10X	12X
20.0%	11.6	13.5	15.4	19.3	23.1
22.5%	10.4	12.2	13.9	17.4	20.9
25.0%	9.4	11.0	**12.6**	15.7	18.9
27.5%	8.5	10.0	11.4	14.2	17.1
30.0%	7.8	9.0	10.3	12.9	15.5

The €21bn round is only reached in the base case with a 20% return and an exit multiple above 10x.

07 Fair value and verdict

Exhibit 4 **Value range by method (€bn)**



Bars: low to high. Dot: central value. Dashed line: Series D €21bn. Solid line: our fair value €16.7bn.

METHOD	CENTRAL	WEIGHT	LOW	HIGH
VC method (probability-weighted)	€13.7bn	60%	€3.3bn	€26.2bn
Listed comparables (EV/Sales median)	€21.4bn	40%	€12.9bn	€45.7bn
Fair value	**€16.7bn**	**100%**		

VERDICT · STRETCHED · FAIR VALUE €16.7BN

The Series D price is 20% above our fair value. It is defensible for strategic investors who value European control of AI, less so on purely financial terms. We would see the valuation as supported if Mistral disclosed revenue above €1bn for 2027 with data-centre utilisation on plan.

08 Risks and catalysts

Risks

- **Price war in models:** open-weight releases keep pushing token prices down.
- **Execution on compute:** data centres must be filled to earn their cost.
- **Talent and capital:** US rivals raise tens of billions per round.
- **Disclosure:** no audited revenue; all figures are estimates.

Catalysts

- **First revenue disclosure** or IPO preparation.

- **Government and defence contracts** in France and Luxembourg.
- **Borlänge (Sweden) data centre,** about 23 MW by 2027.
- **Expanded Microsoft agreement** (July 2026) for European AI infrastructure.

Method and sources. Private-company valuation. Funding data from company announcements and press; revenue from third-party estimates and our own assumptions. Listed comparables from StockAnalysis.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Mistral AI. Not investment advice.

1. €1bn 2026 revenue target · VentureBeat (May 2026 conference) · Tech Funding News (June 2026 talks) · Value Add VC (Series D) · Sacra (ARR, products) · Wikipedia (funding history)
2. Comparables: Palantir · Cloudflare · Datadog · Snowflake